

													
McDonalds Corp													
MCD													
Discounted Cash flow Analysis													
				1		2		3		4		5	
DCF Analysis										Projections			
Amounts in millions	Units	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E				
Revenue	\$m	25,494.00	25,920.00	26,885.00	28,498.10	29,923.01	31,239.62	32,739.12	33,950.47				
% of Revenue growth		10.00%	1.67%	3.72%	6.00%	5.00%	4.40%	4.80%	3.70%				
EBIT		11,647.00	11,712.00	12,392.00	13,010.62	13,658.07	14,306.81	14,961.28	15,519.84				
EBIT margin		45.69%	45.19%	46.09%	45.65%	45.64%	45.80%	45.70%	45.71%				
Taxes		2,053.00	2,121.00	2,334.00	2,392.43	2,504.30	2,624.97	2,746.47	2,847.40				
% of EBIT		17.63%	18.11%	18.83%	18.39%	18.34%	18.35%	18.36%	18.35%				
EBIAT		9,594.00	9,591.00	10,058.00	10,618.19	11,153.77	11,681.84	12,214.80	12,672.43				
Depreciation & Amortization		1,978.00	2,097.00	2,199.00	2,282.53	2,426.58	2,564.59	2,720.43	2,855.04				
% of Revenue		7.76%	8.09%	8.18%	8.01%	8.11%	8.21%	8.31%	8.41%				
Capital Expenditure		-2357.00	-2775.00	-3365.00	-3365.00	-3482.78	-3482.78	-3482.78	-3482.78				
% of Revenue					-11.81%	-11.64%	-11.15%	-10.64%	-10.26%				
		FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E				
Net Working Capital		1,438.00	1,410.00	1,378.00	1,408.67	1,398.89	1,395.19	1,400.91	1,398.33				
Changes in Net Working Capital		0.00	-28.00	-32.00	30.67	-9.78	-3.70	5.73	-2.58				
Unlevered Free Cash Flow					16,235.06	17,072.90	17,732.91	18,412.28	19,012.83				
Present value of Free Cash Flow					15284.20	15131.60	14796.06	14463.13	14060.16				

WACC			Terminal Value			Implied value per share		
Weighted Average Cost of Capital			Terminal Value - Perpetuity Growth			DCF Value - Perpetuity Growth		
			FY2030E Unlevered Free Cash Flow	19,013		NPV of UFCF 2026 - 2030	73,735.16	
Risk free rate (R _f)	5.02%		Perpetuity growth rate	3%		PV of Terminal Value	449,580.19	
Equity Beta	0.41		Terminal Value	607,944		Implied Enterprise Value	523,315.35	
Equity risk premium (R _m - R _f)	4.45%		PV of Terminal value	449,580.19		Less: Debt	(39,973)	
Cost of Equity (K _e)	6.84%					Add: Cash	774	
Cost of debt	4.40%					Implied Equity Value	484,116	
Tax rate	21.00%					Diluted shares	716	
After-tax Cost of Debt (K _{dt})	3.48%					Implied Value Per Share	675.76	
Percentage of Capital								
Debt	39,973	19%						
Equity	176,060	81%						
Total capital	216,033	100.0%						
Weighted Average Cost of Capital								